IN THE HIGH COURT OF JUSTICE

BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES

TECHNOLOGY AND CONSTRUCTION COURT (KBD)

Claim No. HT-2026-000214

B E T W E E N :

BRACKEN COATINGS & SURFACE TECHNOLOGIES LIMITED

Claimant

- and -

MARLDON PROCESS SYSTEMS LIMITED

Defendant

DEFENCE

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1. Paragraphs 1 and 2 of the Particulars of Claim are admitted.

2. Paragraph 3 is admitted, save that it is averred that the Contract incorporated the Defendant's standard terms and conditions of sale dated January 2023 (the "Conditions"), and in particular Conditions 9 (limitation of liability) and 12 (exclusion of consequential loss).

3. Paragraph 4 is admitted.

4. As to paragraphs 5 to 7, it is admitted that the System was required to achieve the stated treated-effluent quality, but it is averred that performance was at all times conditional upon the influent effluent remaining within the chemical oxygen demand range stated in the enquiry data pack, namely 1,200 mg/l (±15%).

5. It is denied that the System was defective in design or specification as alleged in paragraph 8 or at all. The membrane modules and permeate pumps were correctly sized and specified for the design basis provided by the Claimant.

6. It is averred that the failures of the System were caused or contributed to by the Claimant's own acts and omissions, in that the actual organic loading of the Claimant's effluent materially and repeatedly exceeded the design basis disclosed at enquiry, reaching 1,900 to 2,200 mg/l COD, thereby overloading the System.

7. It is further averred that the Claimant failed to operate and maintain the System in accordance with the Defendant's operating and maintenance manual, in particular as to membrane cleaning frequency.

8. Paragraph 9 is denied. The Defendant attended site promptly on each occasion and the System was restored to operation; any residual underperformance was attributable to the Claimant's overloading of the System.

9. Paragraph 10 is denied. The Claimant was not entitled to treat the Contract as repudiated and its purported termination was itself a repudiatory breach, which the Defendant has accepted.

10. As to paragraph 11 (loss), no admissions are made as to the quantum of the alleged losses, which are not admitted and are put in issue. In any event: (a) by Condition 12 the Defendant's liability for loss of production and other consequential loss is excluded; (b) by Condition 9 the Defendant's total liability is in any event limited to the contract price of £1,480,000; and (c) the loss of production claim is too remote.

11. Save as expressly admitted, each and every allegation in the Particulars of Claim is denied.

JONATHAN VANE

Counsel for the Defendant

Statement of Truth

The Defendant believes that the facts stated in this Defence are true. Signed: for and on behalf of the Defendant. Dated: 18 March 2026.

The Defendant's solicitors are Thackeray Wolfe LLP, 1 Pirelli Court, Birmingham B3 2DX.